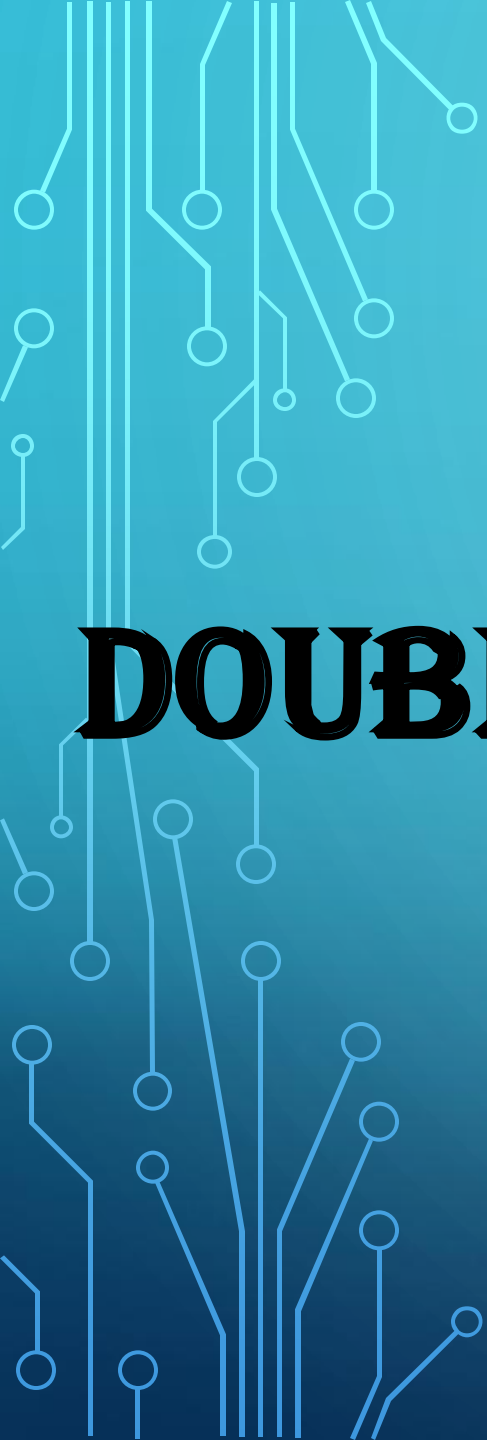




CH – 01

ACCOUNTING BASICS



(B)

DOUBLE ENTRY BOOK – KEEPING SYSTEM

(1)

INTRODUCTION TO DOUBLE ENTRY BOOK - KEEPING SYSTEM



OVERVIEW OF FINANCIAL ACCOUNTING

OVERVIEW OF ACCOUNTING

Collecting & verifying

**Collection and verification of
source documents of business
transactions**

OVERVIEW OF ACCOUNTING

Recording

**Recording of business transactions in
General Journal**

OVERVIEW OF ACCOUNTING

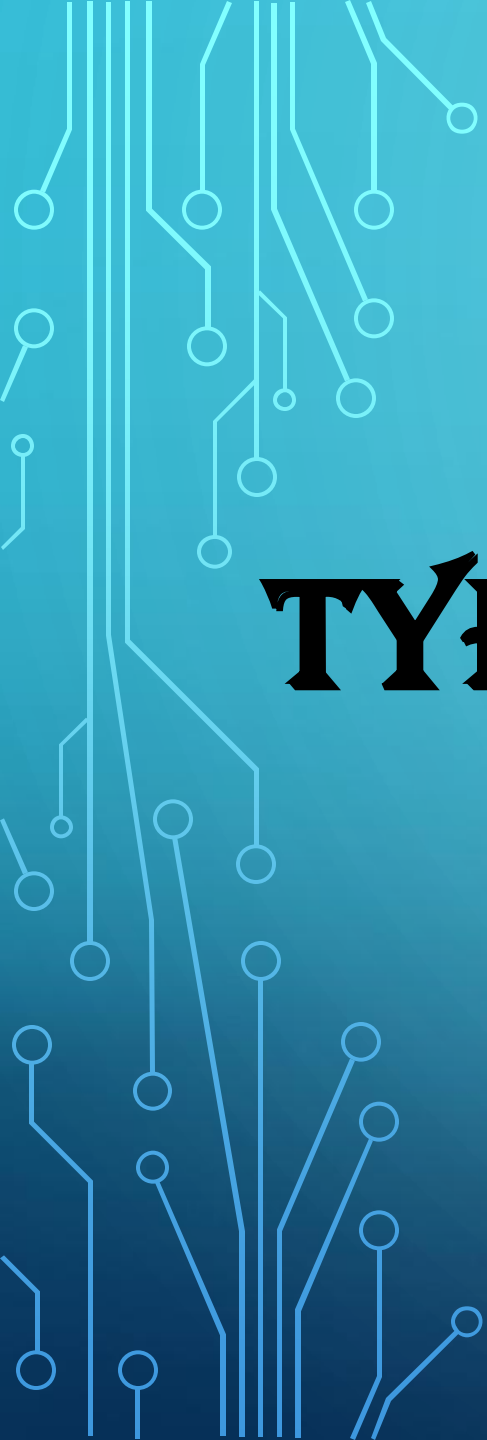
Classification

Preparation of General Ledgers & trial balance

OVERVIEW OF ACCOUNTING

Summarizing

Preparation of Financial Statements



TYPES OF BOOK – KEEPING SYSTEM

BOOK KEEPING SYSTEMS



Double entry book –
keeping system

Single entry book
keeping system

DOUBLE ENTRY BOOK KEEPING

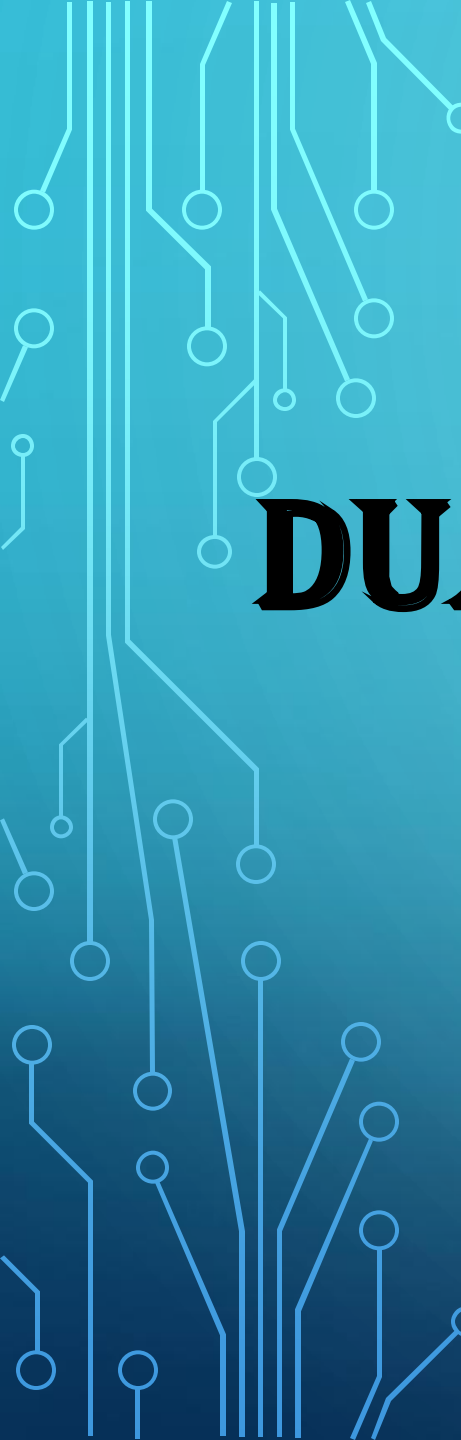
Double entry book keeping is the process of:

Recording & classifying business transactions in the books of accounts using double entry rules.

TYPES OF DOUBLE ENTRY BOOK – KEEPING SYSTEM

Book – keeping system **without** books of prime entry

Book – keeping system **with** books of prime entry.



DUAL NATURE OF BUSINESS TRANSACTIONS

DUAL NATURE OF TRANSACTIONS

Every transaction and financial event of the business has dual effect on the:

Assets,

Liabilities

Equity

Income

Expenses



ELEMENTS OF FINANCIAL STATEMENTS

ELEMENTS OF FINANCIAL STATEMENTS

ASSETS

LIABILITIES

EQUITY

INCOME

EXPENSES

EQUITY

Any thing invested by the owner(s) into the business plus retained profits.

$$\text{Equity} = \text{Capital} + \{\text{Profit} - \text{Drawings}\}$$

CAPITAL

Any thing (cash or other assets) invested by the owner(s) into the business.

DRAWINGS

**Any thing (cash or other assets) withdrawn by the owner(s) from the business
FOR PERSONAL USE.**



RULES OF DOUBLE ENTRY BOOK KEEPING



RULES OF DEBIT & CREDIT

RULES OF DEBIT & CREDIT

**DEBIT
(DR)**

ASSETS

EXPENSES

DRAWINGS

**CREDIT
(CR)**

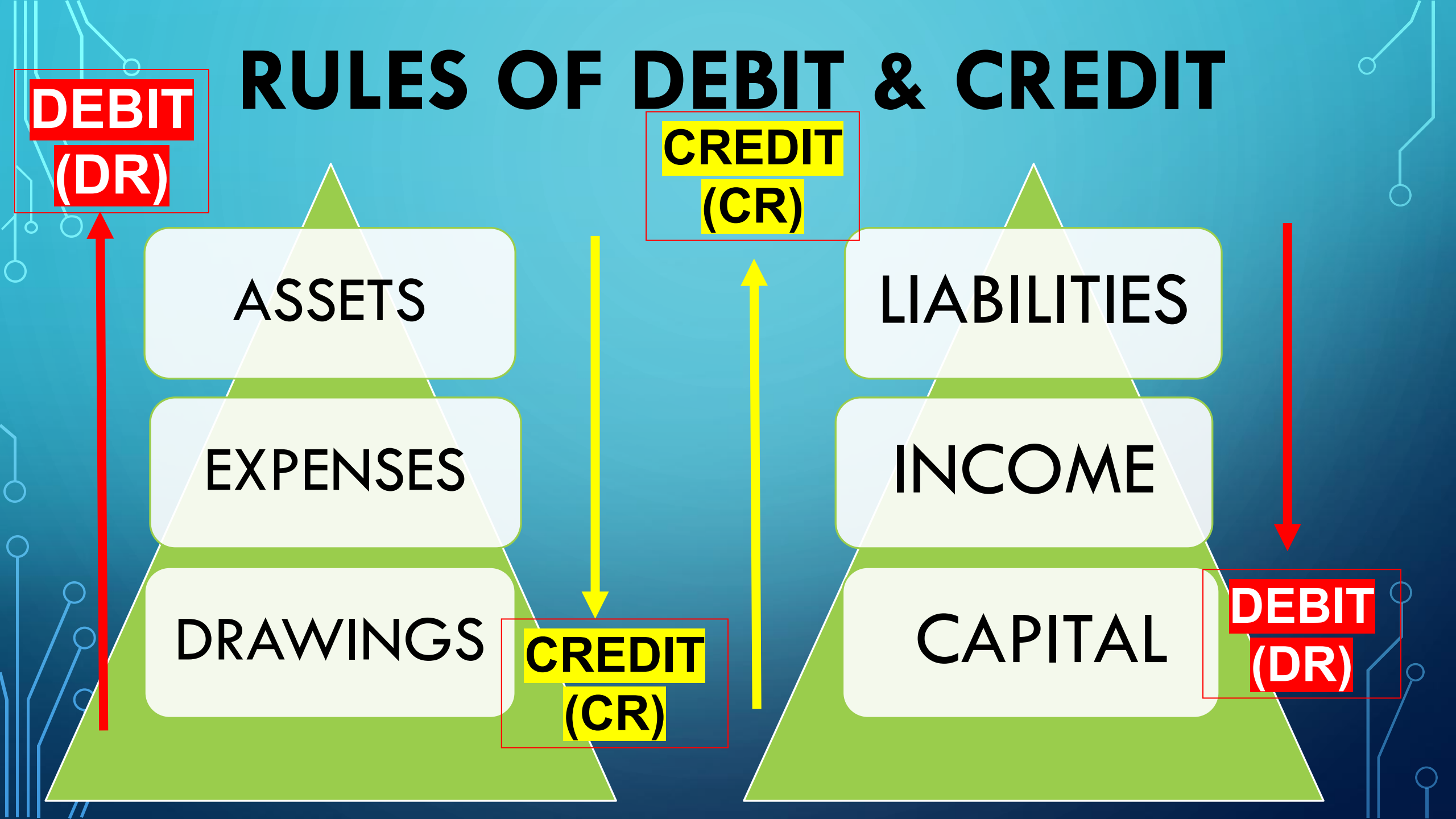
**CREDIT
(CR)**

LIABILITIES

INCOME

CAPITAL

**DEBIT
(DR)**



RULES OF DEBIT & CREDIT

Every transaction is recorded twice

As a debit
entry in one
account ;

&

As a credit
entry in another
account

RULES OF DEBIT & CREDIT

**Total of
debit
amount**



**Total of
credit
amount**

RULES OF DEBIT & CREDIT ENTRIES

**In any transaction
same account can
never carry both
signs**

RULES OF DEBIT & CREDIT

In any transaction there may be more than one debits &/or credits; but

Amount of debit entries must be equal to amount of credit entries.



RULES OF DOUBLE ENTRY RELATING TO SALES & PURCHASES

RULES OF DEBIT & CREDIT FOR PURCHASES

**DEBIT
(DR)**



Purchases

(Goods bought for sale)

(Increase in an Expense when bought)

Purchase Return

(Goods return to supplier)

(Decrease in expense when returned)



**CREDIT
(CR)**

RULES OF DEBIT & CREDIT FOR SALES

CREDIT
(CR)



Sales

(Goods sold)

(Increase in income at the time of sales)

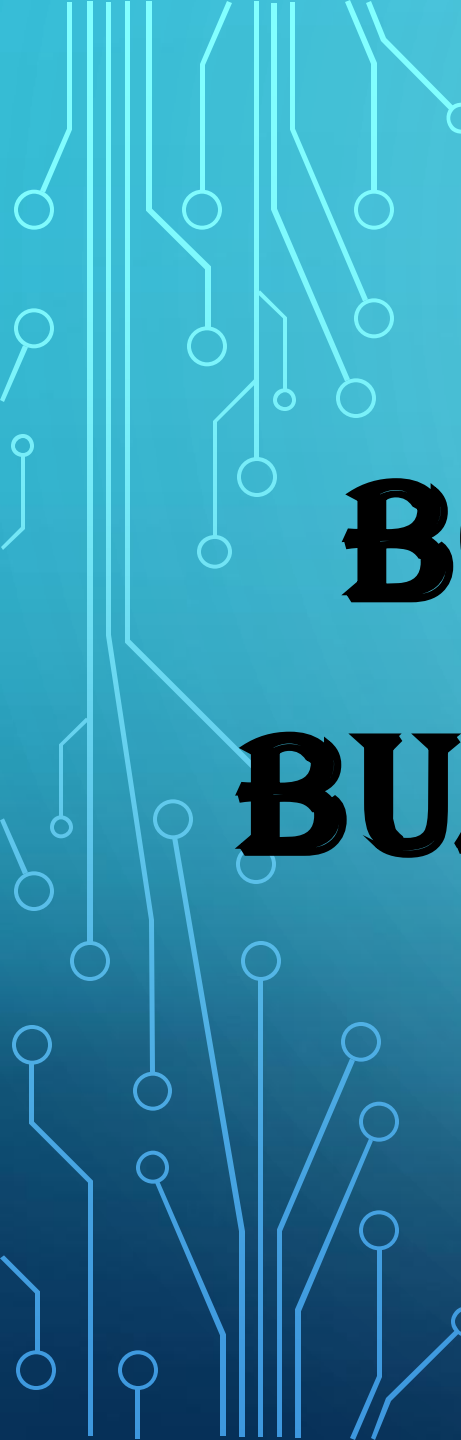
Sales return

(Goods return from customer)

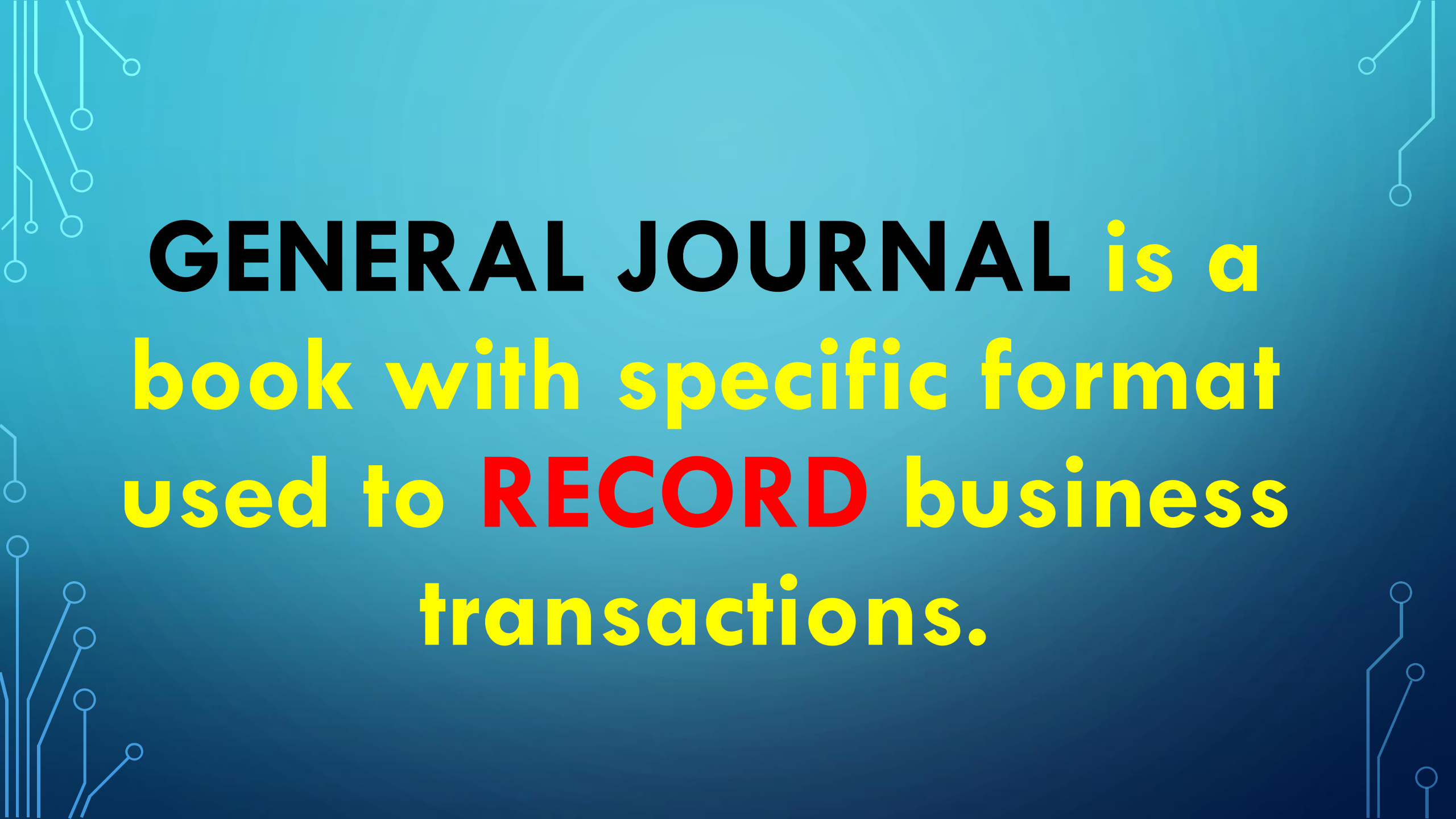
(Decrease in income when returned)



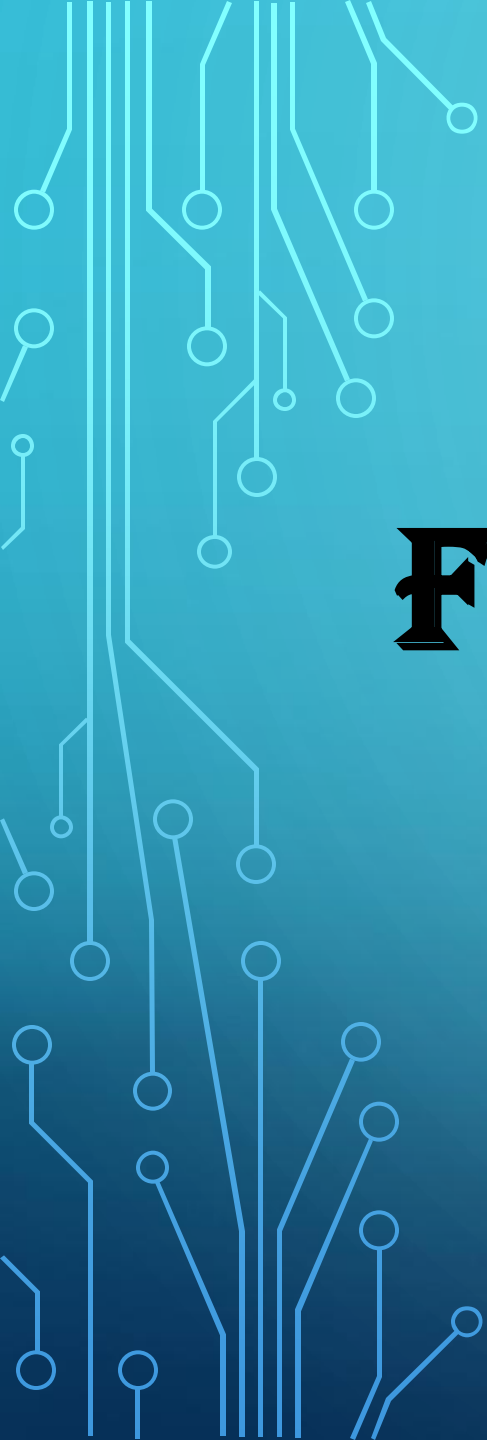
DEBIT
(DR)



**BOOK USED TO RECORD
BUSINESS TRANSACTIONS**

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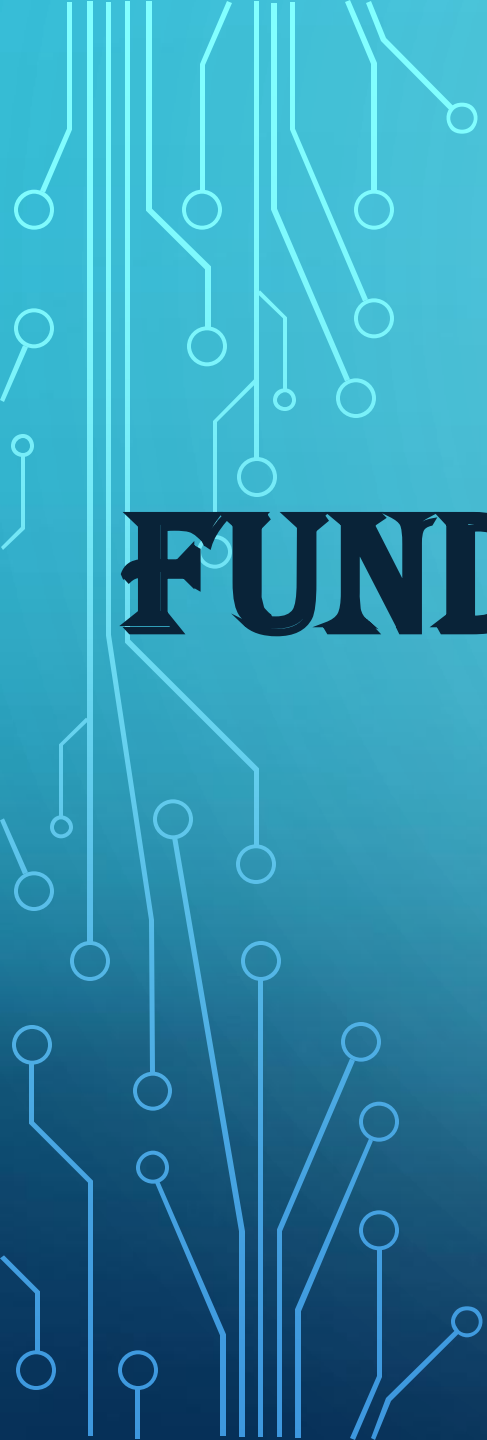
GENERAL JOURNAL is a
book with specific format
used to **RECORD** business
transactions.



FORMAT OF GENERAL JOURNAL

GENERAL JOURNAL

Date	Description	L/F	Debit Rs.	Credit Rs.
2023 Jan – 01	Cash		X	
	Bank Loan			X
	<u>(Loan received from bank)</u>			



FUNDAMENTAL ACCOUNTING EQUATION

ACCOUNTING EQUATION

Accounting equation is a theoretical concept to understand dual aspect of every transaction and their effect on

assets, liabilities & equity.

ACCOUNTING EQUATION (1)

Assets

=

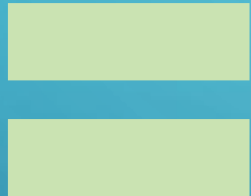
Equity

+

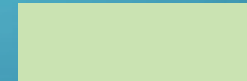
Liabilities

ACCOUNTING EQUATION (2)

Equity



Assets



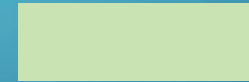
Liabilities

ACCOUNTING EQUATION (3)

Liabilities



Assets



Equity

ASSETS

**Non
current
Assets**



**Current
Assets**

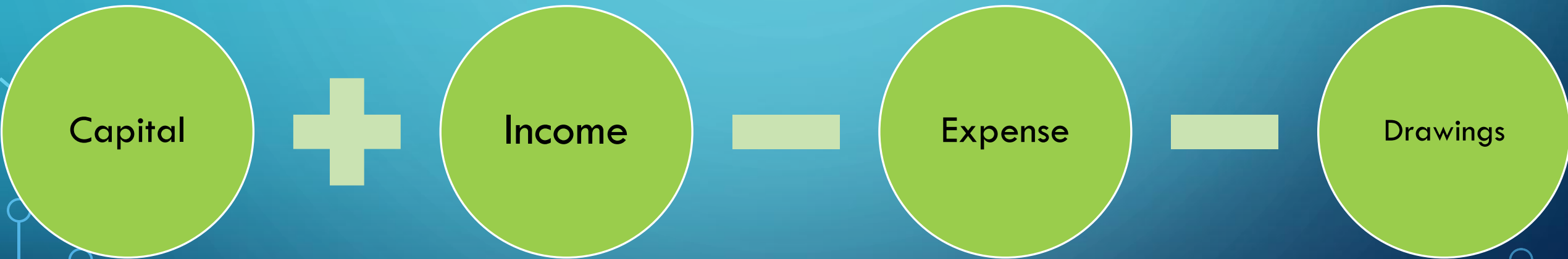
LIABILITIES

Non
current
Liabilities



Current
Liabilities

EQUITY



QUESTION – ANSWER SESSION

